

For instance, in this case, by taking a short position on the put option or long position on the call option, the trader can look to profit. The Put Call parity will restore itself by either the Put option going down in value or the premium on the call option increasing.



This Put call parity relationship is not used generally to create our trading strategies. This is because changes in the spot price of the underlying asset and risk management requirements make it very difficult to profit from these. But it lays the foundation for us to better understand all the options pricing principles that would come further.